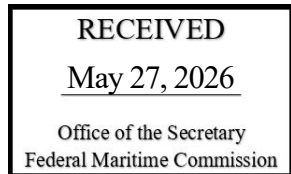




Before the
FEDERAL MARITIME COMMISSION

Docket No. 26-08

Ealytex Global Inc. v. COSCO Shipping Lines Co., Ltd.



VERIFIED COMPLAINT

I. INTRODUCTION

1. Complainant Ealytex Global Inc. (“EGI”), by its undersigned counsel, brings this Verified Complaint against Respondent COSCO Shipping Lines Co., Ltd. (“COSCO”), pursuant to 46 U.S.C. Section 41301 to seek compensation for injuries to EGI caused by Respondent’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”).

2. COSCO has unjustly and unreasonably charged astronomical demurrage, detention, per diem, and storage charges (the “Charges”) to EGI citing inability to pick up containers at the ports, or return empty containers promptly, all of which was significantly constrained due to circumstances outside EGI’s control, such as congestion at ports and shortage of equipment.

3. COSCO’s conduct related to the receipt, handling, storage, and/or delivery of EGI containers and property occurred on a normal and customary basis.

II. THE COMPLAINANT

4. Complainant EGI is a corporation organized under the laws of New York with its principal place of business located at 225 West 39th Street, 8th Floor, New York, NY 10018. EGI can be contacted by the FMC through its Shipping Manager Luna Zhang, 212-967-9888, Luna@ealytex.com. EGI is a “shipper” pursuant to 46 U.S.C. 40102(23).

III. THE RESPONDENT

5. Upon information and belief, Respondent COSCO was established in 2016, and is a Chinese global ocean carrier located at No. 378 Dong Da Ming Road, Shanghai, 200080, People's Republic of China with its U.S. office/general agent located at 100 Lighting Way, Secaucus, NJ 07094. COSCO offers container transportation and serves multiple ports in the United States. Upon information and belief COSCO is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. § 40102(18).

IV. JURISDICTION AND LEGAL AUTHORITY

6. The Federal Maritime Commission ("FMC") has jurisdiction over this Verified Complaint pursuant to 26 U.S.C. §§ 41301 through 41309.

7. The FMC has personal jurisdiction over Respondent as an ocean common carrier, as that term is defined by 46 CFR § 520.2.

8. Respondent's actions alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of EGI, in violation of 46 U.S.C. Section 41102(c) and the FMC's Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29,638 (May 18, 2020 (partially codified at 46 C.F.R. Section 545.5) (the "Interpretive Rule"), and in particular the Incentive Principle articulated in the Interpretive Rule.

9. Respondent's assessment of the Charges, or a substantial majority thereof, and the alleged acts and omissions of COSCO that led to the assessment of such Charges also constitute violations of 46 U.S. Section 41104, including 46 U.S.C. Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate.

V. ALLEGED FACTS

10. As set forth herein, EGI shipped hundreds of unique containers using COSCO, and COSCO assessed EGI with detention, and demurrage, and storage charges on many of those containers. The total demurrage, detention, per diem, and storage charges assessed by COSCO was in excess of \$360,310.00 (the “Charges”).

11. As set forth in the FMC’s Interpretive Rule, “the purpose of demurrage and detention are to incentivize cargo movement,” and therefore the FMC “will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity.”

12. COSCO’s assessment of the Charges, or a substantial majority thereof, and COSCO’s acts and omissions that led to the assessment of the Charges, were incapable of incentivizing cargo movement and therefore unreasonable.

13. COSCO refused to act reasonably by increasing the number of free days available to EGI even though COSCO created delays beyond EGI’s control.

14. The Charges assessed by COSCO and paid by Complainant were assessed during periods of time in which such Charges were not just or reasonable because of circumstances outside the control of EGI and its agents and services providers, such as congestion at ports and shortage of equipment.

15. COSCO failed to provide adequate practices and facilities to handle and store COSCO’s empty containers and also failed to provide to provide adequate facilities for its customers, including EGI, to return empty containers at those ports.

16. Despite knowing that there was insufficient space in certain ports, COSCO continued to accept EGI's goods for ocean common carriage and for receipt, handling, storage, and/or delivery through those ports.

17. COSCO failed to provide reasonable free time for EGI for containers COSCO transported into the ports during the time COSCO failed to clear its container backlog.

18. The Charges did not serve, and could not have served, as a financial incentive to promote freight fluidity, but instead operated only as a punitive penalty on EGI for circumstances over which EGI and its agents and service providers had little to no control.

19. COSCO also failed to provide sufficient detail on its invoices to allow Ealytex to understand the reasons for the Charges and to be able to contest the Charges. Prior to the FMC's mandate to provide backup data to substantiate these Charges in the Ocean Shipping Reform Act of 2022 ("OSRA"), COSCO's invoices for the Charges did not include the start or end date of any free time allocated for these containers, the applicable detention or demurrage rule on which the Charges were based, the rates applied, any representation that COSCO's performance did not contribute to the underlying Charge, or a statement that the Charges were consistent with the FMC rules.

20. On or about August 16, 2023, EGI filed a charge complaint with the FMC (the "Charge Complaint"). As set forth in the Charge Complaint, EGI disputed the Charges assessed by COSCO in an amount no less than \$360,310.00.

21. On or about October 11, 2023, to resolve the Charge Complaint, COSCO agreed to delete; refund; waive and/or make adjustments to invoices related to 9 containers from Exhibit B of the Charge Complaint totaling \$24,390.00, to 36 containers from Exhibit A of the Charge Complaint totaling \$215,275.00, and further adjustments related to 13 containers from Exhibit A of the Charge Complaint reducing the number of days charged from 548 to 34 days.

22. The resolution of the Charge Complaint and COSCO's agreement to delete; refund; waive and/or make adjustments to the Charges was memorialized in certain FMC correspondence dated October 30, 2023 (the "FMC Agreement").

23. In breach of the FMC Agreement, COSCO has failed and refused to refund to EGI charges in the amount of \$91,545.00 with respect to Container Nos. CSNU8561008, CSNU8547334, CSNU7603449, OOCU7643078, BEAU6204858, TCKU6197562, TRHU4372788, FSCU8586005, FFAU3614392, TGBU4759979, CSNU6365813,, OOCU9073945, CBHU9575630, CSNU7080559, OOCU7565925, SEGU4233144 and CCLU7318741.

24. In breach of the FMC Agreement, COSCO, on repeated occasions from October 30, 2023 through no earlier than August 1, 2025, falsely and fraudulently claimed that it was processing the agreed refunds to EGI pursuant to the FMC Agreement. Upon information and belief, these statements by COSCO were knowingly false when made and were expressly intended to impair EGI's rights under the Shipping Act and the FMC Agreement.

VI. CAUSES OF ACTION

COUNT I: VIOLATION OF 46 U.S.C. § 41102(c)

25. Complainant repeats and realleges the allegations above as if fully set forth herein.

26. COSCO's assessment of the Charges, and the alleged acts or omissions of COSCO that led to the assessment of such Charges, constitutes failures by COSCO to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering EGI's property in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule.

COUNT II: VIOLATION OF 46 U.S.C. § 41104(a)(10)

27. Complainant repeats and realleges each and every allegation above as if fully set forth herein.
28. COSCO's assessment of the Charges, and the alleged acts or omissions of COSCO that led to the assessment of such Charges, constitutes unreasonable refusal to deal or negotiate with EGI, in violation of 46 U.S.C. Section 41104(a)(10).

VII. CAUSATION

29. The foregoing alleged illegal acts of Respondent have directly and proximately injured EGI by forcing EGI to pay substantially higher market prices or forgo shipping such cargo altogether, and forcing EGI to sustain damages resulting from COSCO's breach of the FMC Agreement.

VIII. COMPLAINANT'S DAMAGES

30. EGI has been, and continues to be, actually and materially injured by each Respondent's continuous conduct in violation of the Shipping Act alleged herein.
31. Respondent's violations alleged herein are causing direct, proximate, and ongoing financial damages to EGI in an amount no less than \$91,545.00, as will be further demonstrated in this proceeding.

IX. PRAYER FOR RELIEF

WHEREFORE, EGI respectfully requests that the FMC require Respondent to answer the charges made in this Verified Complaint and prays for relief from the FMC as follows:

1. An investigation by the FMC of the allegations in this Verified Complaint pursuant to 46 U.S.C. Section 41301(c);
2. An Order, after due investigation pursuant to 46 U.S.C. Sections 41302 and 41303 and a hearing pursuant to 46 U.S.C. Section 41304, finding that Respondent has violated 46 U.S.C.

Section 41102(c) in connection with its respective receipt, handling, storage, and delivery of the property of EGI;

3. An Order requiring Respondent to compensate EGI for the unlawful conduct alleged herein in an amount to be proven pursuant to 46 U.S.C. Section 41305, with interest pursuant to 46 U.S.C. Section 41305(a), EGI's reasonable attorneys' fees as "the prevailing party" pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper; and

4. Such other and further orders or relief as the FMC deems just and proper.

X. REQUEST FOR ORAL HEARING

Complainant requests an oral hearing in Washington, DC.

Dated: New York, New York
May 19, 2026

LAW OFFICE OF
BRIAN P. FREDERICKS, PC

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Attorneys for Complainant

VERIFICATION

STATE OF NEW YORK)
) s.s:
COUNTY OF NEW YORK)

LUNA ZHANG, having been duly sworn, deposes and says:

1. I am a shipping manager for Complainant Ealytex Global Inc.
2. I am authorized to make this verification on behalf of Complainant Ealytex Global Inc.
3. I have read the foregoing Verified Complaint and know the contents thereof to be true and correct to the best of my knowledge and belief, except to those matters which are stated upon information and belief, and as to those matters, I believe them to be true.
4. I verify the foregoing under penalty of perjury under the laws of the United States.


LUNA ZHANG

Sworn to before me this 19th day
of May 2026


Notary Public

